

CASE ID: 200104710740

EPISODE NAME: China Retaliates Against Japanese Vegetable Tariffs

2001/04/12 - 2001/12/22

Sender: China (710)

Target: Japan (740)

Issue: Retaliation (16)

Final Outcome: Total Acquiescence by Target State following sanctions imposition (7)

Summary:

On 2001/06/22, China's State Council Customs Tariff Commission announced 100 percent tariffs on Japanese cars, mobile phones, and air conditioners.¹ The tariffs were in response to Japan's own levies on Chinese mushrooms, green onions, and rushes imposed on 2001/04/23.²³ The episode ended on 2001/12/22 when Japan agreed to end the tariffs on Chinese agricultural goods in return for China's withdrawal of its retaliatory tariffs on Japanese manufactured products.⁴

Narrative:

On 2001/04/11, Japan announced that they would use the WTO's safeguard mechanism to curb imports of Chinese mushrooms, green onions, and rushes.⁵⁶ Japan's government at the time was highly unpopular and dependent on rural votes, and imposed the tariffs under pressure from a powerful farm lobby.⁷⁸ Imports of these vegetables were to be taxed at a 3-6% rate up until their average import volume for the three years from 1997 to 1999, and at a rate of greater than 100% for imports beyond that level.⁹

¹ Troy, Kirk. "China levies 100 percent tax on Japanese goods." *United Press International*, 22 June 2001. <https://www.upi.com/Archives/2001/06/22/China-levies-100-percent-tax-on-Japanese-goods/8497993182400/>.

² "Japan's Safeguard Measures on Chinese Vegetables Kick-In." *China Daily*, 23 April, 2001. <http://www.china.org.cn/english/FR/11658.htm>.

³ PD. "China Protests Japan's Tariffs on Agricultural Products." *People's Daily*, 13 April 2001. https://en.people.cn/english/200104/12/eng20010412_67599.html

⁴ Belson, Ken. "Japan and China in Pact On 8-Month Trade Dispute." *The New York Times*, 22 December 2001. www.nytimes.com/2001/12/22/business/international-business-japan-and-china-in-pact-on-8-month-trade-dispute.html.

⁵ PD. "China Protests Japan's Tariffs on Agricultural Products." *People's Daily*, 13 April 2001. https://en.people.cn/english/200104/12/eng20010412_67599.html

⁶ "Japan's Safeguard Measures on Chinese Vegetables Kick-In." *China Daily*, 23 April, 2001.

⁷ Belson, Ken. "Japan and China in Pact On 8-Month Trade Dispute." *The New York Times*, 22 December 2001. www.nytimes.com/2001/12/22/business/international-business-japan-and-china-in-pact-on-8-month-trade-dispute.html.

⁸ Cornell, Andrew. "Beijing's tariff rises open a can of worms." *Financial Review*, 1 May 2001. <https://www.afr.com/politics/beijings-tariff-rises-open-a-can-of-worms-20010501-k108e>

⁹ "Japan's Safeguard Measures on Chinese Vegetables Kick-In." *China Daily*, 23 April, 2001. <http://www.china.org.cn/english/FR/11658.htm>.

The tariffs went into effect on 2001/04/23, and were to remain in effect for 200 days.¹⁰

On 2001/04/12, China threatened Japan with retaliation when Ministry of Foreign Trade and Economic Cooperation (MOFTEC) spokesperson Gao Yan said that Japan's decision to impose tariffs "seriously harmed Sino-Japanese trade relations" and "[were] against the rules of fair play."¹¹ Some reports also suggest that China began suddenly returning imports from Japanese automakers on 2001/04/24 – the day the agricultural sanctions were imposed – claiming to have concerns about pinewood nematodes in packaging.¹² Japanese companies saw this as a retaliation.¹³

On 2001/06/22, China's State Council Customs Tariff Commission officially announced 100 percent tariffs on Japanese cars, mobile phones, and air conditioners.¹⁴ Japan exported a total of 4,454,885 vehicles in 2000, 47,090 of which went to China.¹⁵

Japan backed down on 2001/12/22, withdrawing its tariffs on Chinese agricultural imports, and China lifted the retaliatory sanctions on Japanese autos, mobile phones, and air conditioners.¹⁶ The agreement avoided significant economic harm to both parties.¹⁷

¹⁰ *Ibid*

¹¹ PD. "China Protests Japan's Tariffs on Agricultural Products." People's Daily, 13 April 2001.

https://en.people.cn/english/200104/12/eng20010412_67599.html

¹² Cornell, Andrew. "Beijing's tariff rises open a can of worms." *Financial Review*, 1 May 2001.

<https://www.afr.com/politics/beijings-tariff-rises-open-a-can-of-worms-20010501-k108e>

¹³ *Ibid*

¹⁴ Troy, Kirk. "China levies 100 percent tax on Japanese goods." *United Press International*, 22 June 2001.

<https://www.upi.com/Archives/2001/06/22/China-levies-100-percent-tax-on-Japanese-goods/8497993182400/>

¹⁵ "China Reported to Cut Car Import Quota From Japan" *China Daily*, 4 June, 2001.

<http://www.china.org.cn/english/2001/Jun/14065.htm>

¹⁶ Belson, Ken. "Japan and China in Pact On 8-Month Trade Dispute." *The New York Times*, 22 December 2001.

www.nytimes.com/2001/12/22/business/international-business-japan-and-china-in-pact-on-8-month-trade-dispute.html

¹⁷ *Ibid*.